

RentSpace Executive Profitability Analysis

Board of Directors Briefing Document & Cash Flow Resolution Strategy

1. Business Context & Objective

Problem Statement: RentSpace.com is currently facing severe cash flow pressures. The Board of Directors requested a deep-dive financial analysis to identify the root causes of financial drain across locations and property types.

Objective: Combine Order Revenue Data and Cost Data via Tableau BI to isolate high-profit zones and identify loss-making segments for immediate strategic action.

2. Global KPI Summary

\$3.72M

TOTAL REVENUE EXTRACTED

\$3.03M

TOTAL COST INCURRED

\$690K

NET PROFIT RETAINED

3. Board of Directors Insights (Data Findings)

- **The Manhattan Drain:** Despite high volumes, Manhattan is operating at a catastrophic net loss (approx - \$3 Million). The costs associated with operations here heavily outweigh the rental prices charged.
- **Profitable Boroughs:** Queens, Staten Island, and Brooklyn are the most financially stable regions, subsidizing the losses incurred in Manhattan.
- **Property Type Performance:** The interactive Tableau heatmap reveals that **Apartments in Manhattan** are the single largest contributors to the company's negative cash flow. Conversely, Houses in Brooklyn and Queens are highly profitable.

4. Strategic Recommendations

Immediate Actions for Cash Flow Recovery:

1. **Price Restructuring in Manhattan:** Halt any discounts on Manhattan apartments immediately. The base pricing must be adjusted upward by at least 30% to break even with the underlying operational costs.

2. **Cost Auditing:** Launch an immediate investigation into why the operational costs (maintenance, sourcing, taxes) in Manhattan are disproportionately higher than the revenue generated.
3. **Marketing Pivot:** Shift the Q3 marketing budget away from Manhattan and heavily promote property listings in Queens and Brooklyn to maximize the high-profit margin segments.